

Globalization in the Digital Age

Learning Objectives

- Understand globalization in the digital era
- Differentiate traditional and digital globalization
- Explain e-commerce and digital trade
- Analyze the role of multinational digital firms
- Identify opportunities and risks for developing countries
- Understand Nepal's position in the digital global economy

Meaning of Globalization

- **Globalization** is the process of increasing **interconnection and interdependence** among countries through:
 - Trade of goods and services
 - Flow of capital and investment
 - Movement of people
 - Exchange of information and culture
-  **Simple example:**
A phone designed in the USA, manufactured in China, software developed in India, and sold in Nepal.

Traditional Globalization

- Traditional globalization mainly depended on:
- Physical goods (manufacturing & shipping)
- Transportation (ships, trucks, airplanes)
- Face-to-face business
- High cost and long time
-  **Example:**
Nepal exporting carpets → long shipping time → customs → physical delivery

What is Digital Globalization?

- **Digital globalization** refers to globalization driven by **digital technologies** such as:
 - Internet
 - Cloud computing
 - Mobile technology
 - Digital platforms
-  It focuses on **data, services, knowledge, and digital products** instead of physical goods.

Digital vs Traditional Globalization

Traditional

Goods-based

Slow

High cost

Physical movement

Limited participation

Digital

Data & service-based

Fast

Low cost

Virtual movement

Global access

What is E-Commerce?

- **E-commerce** is buying and selling goods and services **online**.
- Types:
 - B2C (Business to Consumer) – Amazon, Daraz
 - B2B (Business to Business)
 - C2C (Consumer to Consumer)
-  **Example:**
Ordering clothes from Daraz Nepal using a mobile phone.

Digital Trade

- **Digital trade** includes:
 - Online services (software, design, consulting)
 - Digital products (apps, games, e-books)
 - Cross-border data flow
-  **Important:**
Digital trade does not require physical delivery.
-  **Example:**
A Nepali designer sending a logo to a US client via email.

Role of Digital Platforms

- Digital platforms connect **global buyers and sellers**:
- Amazon
- Google
- Facebook
- Upwork
- Fiverr
-  These platforms:
- Reduce barriers
- Provide global market access
- Enable digital payments

Multinational Digital Firms

- **Multinational digital firms** operate globally using digital technology.
- Examples:
- Google
- Meta (Facebook, Instagram)
- Microsoft
- Amazon
- Apple
-  They do not need factories in every country.

How Digital MNCs Shape Globalization

- Digital multinational companies:
- Control global data flows
- Know what people like everywhere
- Give tools to store and share stuff online
- Help sell things by showing ads
- Make lots of products work together
-  **Example:**
Google Ads used by businesses in Nepal to reach global customers.

Opportunities for Developing Countries

- Digital globalization creates opportunities such as:
- Access to global markets
- Sell your work worldwide
- Find digital jobs
- Start small without big money
- Work from anywhere
-  **Key idea:**
You don't need a factory—only skills and internet.

Risks & Challenges

- Despite benefits, there are risks:
- Digital divide (internet access gap)
- Job displacement due to automation
- Data privacy issues
- Dependence on foreign platforms
-  **Example:**
Local businesses competing with global platforms like Amazon.

Nepal in Digital Globalization

- Nepal's digital participation includes:
- Freelancing
- IT outsourcing
- Online content creation
- Digital payments (eSewa, Khalti)
- 📌 Nepal is moving from **consumer** to **service provider**.

Freelancing in Nepal

Popular freelancing areas:

- Graphic design
- Web & app development
- Content writing
- Digital marketing

Platforms:

- Upwork
- Fiverr
- Freelancer
-  A Nepali student can earn in USD from home.

Outsourcing & IT Services

- Nepal provides:
- Software development
- Data entry & support services
- QA testing
-  Benefits:
- Foreign income
- Skill development
- Employment opportunities

Role of Information Management Graduates

- BIM graduates can work as:
- Business analysts
- Digital entrepreneurs
- IT project managers
- Data & information managers
-  **Digital globalization = career opportunity**

Case Example (Simple)

-  **Scenario:**
A Nepali startup creates a mobile app → uploads to Google Play → users download globally → earns revenue digitally.
- **No shipping**  
- You don't need to send physical products anywhere.
- **No physical store**  
- You don't need a shop or office to sell your app.
- **Global reach** 
- People anywhere in the world can use your product.

Summary

- Globalization has become **digital**
- Digital tech reduces distance and cost
- E-commerce and digital trade are growing
- Multinational digital firms dominate markets
- Nepal can benefit through skills & IT services
- Managing risks is equally important